as much as $120 billion (nearly Rs 10 lakh crore) in investor wealth but also half the market capitalisation of the companies in a matter of just a week. Although robust quarterly results of group firms and pre-payment of over $1 billion (nearly Rs 8,280 crore) to release pledged shares in three group firms—Adani Ports & Special Economic Zone (APSEZ), Adani Green Energy and Adani Transmission—helped the group arrest the overall slide, the share prices of some of the companies continued to go downhill.

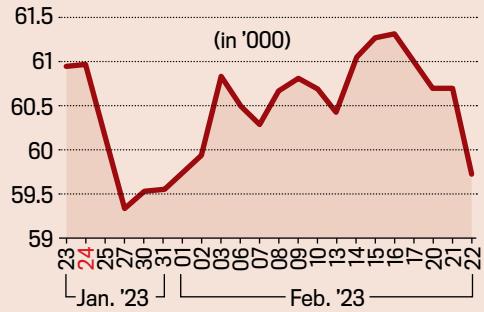
When a stock crisis of such magnitude hit a diversified corporate giant with huge exposure to the infrastructure and green energy sectors—both dear to the Modi government—many expected the Indian stock markets to tumble drastically. Fall they did in the immediate aftermath of the Hindenburg report and during the presentation of the Union budget and currently in anticipation of a further rate hike by the US Federal Reserve (on February 1, the US central bank had increased rates by a quarter of a percentage point). But they have generally remained in positive territory, even recording a *rise* of 0.5 per cent in the benchmark Sensex, per data for two weeks of stock trade on BSE post the Hindenburg saga. This was contrary to how markets typically react when buffeted by such big events. For instance, when the dotcom bubble burst in 2000, Indian stock markets fell by 4.7 per cent in two weeks. The Ketan Parekh scam a year later, where the stockbroker was accused of manipulating the prices of select stocks, saw markets fall 13 per cent in a fortnight. In 2001, when the twin towers fell in New York, the markets fell 11.3 per cent in two weeks in India. The Nirav Modi scam in 2018 saw a nearly 3 per cent fall and the IL&FS crisis that year, where defaults by the infrastructure lender led to a domino effect in the sector, saw the market crashing 9.5 per cent in the fortnight that followed, per media reports (see *Negative Reaction*). By contrast, the BSE Sensex peaked to 61,319 on February 16, higher than the 60,978 points it was at on January 24.



PANIC AND AFTER

The Hindenburg bomb that exploded on January 24 failed to dampen spirits on Dalal Street

BSE SENSEX



NEGATIVE REACTION

How stock markets responded to big-shock events in the new millennium

% change in Sensex after 15 trading days

2000	Dotcom bubble burst	-4.7
2001	Ketan Parekh scam	-13.1
2001	9/11 attacks	-11.3
2007	Satyam scam	-10.4
2008	Subprime bubble	-12.8
2018	PNB-Nirav Modi scam	-2.9
2018	IL&FS scam	-9.5
2023	Adani Group turmoil	0.5

Source: BSE, Media Reports

Graphics by TANMOY CHAKRABORTY

STAYING THE COURSE

Until February 20, nearly a month after the Hindenburg explosion, the Adani Group companies had seen an erosion of around $135 billion (over Rs 11 lakh crore) of their total equity market value, with Adani Total Gas taking the hardest hit. The total m-cap of the nine listed firms of the Adani Group stood at Rs 8.27 lakh crore on that date, less than half of the Rs 19.18 lakh crore on January 24. Shares of Adani Total Gas stood at Rs 925.10 on February 20 compared to the Rs 3,885.45 they traded at on January 24, a 76 per cent fall. The firm's m-cap fell from Rs 4.27 lakh crore on January 24 to Rs 1.01 lakh crore on February 20 (see *The Adani Rout Map*).

Despite this rout in the Adani stocks, the overall indices seem to be delinked from the crisis. Why is that